



VISIONIAS

www.visionias.in

Test Booklet Series

TEST BOOKLET

C

GENERAL STUDIES (P) 2026 – Test – 6330

Time Allowed: Two Hours

Maximum Marks: 200

INSTRUCTIONS

1. IMMEDIATELY AFTER THE COMMENCEMENT OF THE EXAMINATION, YOU SHOULD CHECK THAT THIS BOOKLET DOES **NOT** HAVE ANY UNPRINTED OR TURN OR MISSING PAGES OR ITEMS, ETC. IF SO, GET IT REPLACED BY A COMPLETE TEST BOOKLET.
 2. ENCODE CLEARLY THE TEST BOOKLET SERIES **A, B, C** OR **D** AS THE CASE MAY BE IN THE APPROPRIATE PLACE IN THE ANSWER SHEET.
 3. You have to enter your Roll Number on the Test Booklet in the Box provided alongside. **Do NOT** write anything else on the Test Booklet.
-
4. This Test Booklet contains **100** items (Questions). Each item is printed in **English**. Each item comprises four responses (answers). You will select the response which you want to mark on the Answer Sheet. In case you feel that there is more than one correct response with you consider the best. In any case, choose **ONLY ONE** response for each item.
 5. You have to mark all your responses **ONLY** on the separate Answer Sheet provided. See direction in the answers sheet.
 6. All items carry equal marks. Attempt all items. Your total marks will depend only on the number of **correct responses** marked by you in the answer sheet. For **every incorrect** response **1/3rd of the allotted marks** will be deducted.
 7. Before you proceed to mark in the Answer sheet the response to various items in the Test booklet, you have to fill in some particulars in the answer sheets as per instruction sent to you with your Admission Certificate.
 8. After you have completed filling in all responses on the answer sheet and the examination has concluded, you should hand over to Invigilator only the answer sheet. You are permitted to take away with you the Test Booklet.
 9. Sheet for rough work are appended in the Test Booklet at the end.

DO NOT OPEN THIS BOOKLET UNTIL YOU ARE ASKED TO DO SO

1. Consider the following:
 1. Construction of a new house
 2. Amount received in a lottery
 3. Goods purchased by a foreign tourist in a country
 4. Gifts received from abroad

How many of the above are included in the National Income?

 - (a) Only one
 - (b) Only two
 - (c) Only three
 - (d) All four

2. Which of the following are the components of 'High Powered Money'?
 1. Currency in circulation with the public.
 2. Vault cash lying with commercial banks.
 3. Deposits held by the Government of India with RBI.
 4. Deposits held by commercial banks with RBI.

Select the correct answer using the code given below.

 - (a) 1, 2 and 3 only
 - (b) 2, 3 and 4 only
 - (c) 1 and 4 only
 - (d) 1, 2, 3 and 4

3. Consider the following categories:
 1. Agriculture
 2. Education loans to individuals
 3. Renewable energy projects
 4. Housing loans
 5. Export Credit

How many of the above are included under Priority Sector Lending (PSL) targets as per RBI guidelines?

 - (a) Only two
 - (b) Only three
 - (c) Only four
 - (d) All five

4. When net factor income from abroad is zero then which of the following is necessarily correct?
 - (a) Gross National Product is equal to Net National Product
 - (b) Gross Domestic Product is equal to Gross National Product
 - (c) Gross Domestic Product is greater than Gross National Product
 - (d) Gross Domestic Product is equal to National Income

5. Consider the following statements:
 1. Effective Capital Expenditure (capex) refers to the sum of Capital Expenditure minus Grants-in-Aid for the creation of Capital Assets.
 2. In India, effective capex as a percentage of GDP has steadily decreased in the recent past, which indicates improved quality of expenditure.

Which of the statements given above is/are correct?

 - (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2

6. In National Income Accounting, 'Compensation of Employees' and 'Operating Surplus' are used in which method of estimating GDP?
 - (a) Production method
 - (b) Income method
 - (c) Expenditure method
 - (d) Output method

7. According to Keynesian economics, unemployment in an economy primarily arises due to,
 - (a) Structural inefficiencies in the labour market
 - (b) Lack of aggregate demand
 - (c) Shortage of skills among workers
 - (d) Technological advancement replacing labour

8. Consider the following:
1. Cash Reserve Ratio
 2. Margin requirements
 3. Statutory Liquidity Ratio
 4. Moral Suasion
 5. Open Market Operations
 6. Direct action
- Which of the above are quantitative tools of the Monetary Policy?
- (a) 1, 3, and 5 only
 - (b) 1, 2, 3, 4, and 5 only
 - (c) 2, 5, and 6 only
 - (d) 1, 2, 3, 4, 5, and 6
9. Which of the following is/are forms of fiscal stimulus?
1. Increased funding for infrastructure development.
 2. Reduction in repo rates by RBI
 3. Reducing Tax rates
- Select the correct answer using the code given below.
- (a) 1 and 3 only
 - (b) 2 and 3 only
 - (c) 1 only
 - (d) 1, 2 and 3
10. Consider the following statements regarding Payment Banks in India:
1. Payment banks are licensed by the Reserve Bank of India under the RBI Act, 1934.
 2. Payment banks can accept only savings and current deposits of a specific amount.
 3. Payment banks are allowed to provide credit facilities only to individuals and Small business enterprises.
- Which of the statements given above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) 2 and 3 only
 - (d) 1 and 2 only
11. It is a provision in an IPO that allows underwriters to sell up to 15% additional shares to stabilise the share price after listing. It refers to
- (a) Dutch auction offer
 - (b) Offer for sale
 - (c) Green shoe option
 - (d) Preference shares
12. Consider the following statements:
- Statement-I: Specific taxes minimize substitution and are more effective than ad valorem taxes at reducing cigarette consumption after a tax increase.
- Statement-II: Specific taxes are charged per quantity, discouraging the switch to cheaper brands.
- Which one of the following is correct with respect to the above statements?
- (a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I.
 - (b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement-I.
 - (c) Statement-I is correct but Statement-II is incorrect.
 - (d) Statement-I is incorrect but Statement II is correct.
13. In the context of India's National Income Accounting, consider the following macroeconomic aggregates:
1. Gross Domestic Product (GDP)
 2. GVA at basic prices
 3. Gross National Income (GNI)
 4. Gross National Disposable Income (GNDI)
- Arrange the above national income aggregates in the increasing order of their values (at current prices)?
- (a) 2-3-1-4
 - (b) 2-1-3-4
 - (c) 2-4-3-1
 - (d) 2-4-1-3

14. Consider the following statements with reference to Net Domestic Product (NDP):
1. It is calculated after adjusting the weight of the value of depreciation from the gross domestic product (GDP).
 2. For two economies with the same GDP, the one with a higher value of the consumption of capital goods will have a higher NDP.
- Which of the statements given above is/are correct?
- (a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2
15. Consider the following statements:
1. A regressive tax is a tax where the tax burden falls disproportionately on lower-income earners.
 2. All indirect taxes are regressive in nature.
- Which of the statements given above is/are correct?
- (a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2
16. Consider the following statements with reference to the fiscal status of the Union:
- I. Direct tax collections have consistently been lower than indirect tax collections in the past decade.
- II. The fiscal deficit has consistently decreased over the past decade.
- Which of the statements given above is/are correct?
- (a) I only
(b) II only
(c) Both I and II
(d) Neither I nor II

17. Which of the following best defines "Effective Revenue Deficit"?
- (a) It is the difference between incoming imports and outgoing exports in an annual financial year.
- (b) It is the difference between fiscal deficit and interest payments made by the government on loans borrowed.
- (c) It is the difference between revenue deficit and grants-in-aid given for creation of capital assets.
- (d) It is the difference between the total revenue earned and total expenditure made by the government in an year.
18. Under the Current Weekly Status (CWS) approach of the Periodic Labour Force Survey (PLFS), a person is considered employed if he or she has:
- (a) Worked for at least 3 days during the preceding week
- (b) Worked for at least 1 hour on any day during the preceding 7 days
- (c) Worked for at least 1 day during the preceding 5 days
- (d) Worked for at least 4 hours on any day during the preceding week
19. With reference to economy, the Marginal Utility Curve depicts:
- (a) the relation between the satisfaction generated from the consumption of an additional unit of a good and the quantity of the good consumed.
- (b) the inverse relationship between rates of unemployment and corresponding rates of inflation.
- (c) the relationship between average tax rates to total tax revenue.
- (d) the function relating the quantity purchased of a commodity to the level of money income.

20. With reference to Transfer Pricing Mechanism, the term *Safe Harbour* refers to the:
- set of goods and services exempted from transfer pricing mechanism.
 - set of conditions in which tax authorities accept the taxpayer declared transfer prices.
 - agreement between a parent company and its subsidiary on an appropriate pricing methodology.
 - exemption of a category of taxpayers from specialised Transfer Pricing scrutiny.
21. The term 'Parana Valles', recently seen in the news, is a/an:
- newly discovered deep-sea trench system in the South Atlantic Ocean near Brazil.
 - one of Mars' major ancient river drainage systems, recently mapped by scientists.
 - series of high-altitude glacial valleys in the Andes Mountains currently facing rapid melting.
 - proposed underwater tunnel project connecting Argentina and Uruguay.
22. With reference to the International Treaty on Plant Genetic Resources for Food and Agriculture (ITPGRFA), consider the following statements:
- It was adopted under the aegis of the Food and Agriculture Organization (FAO).
 - It is the first legally binding international agreement dedicated to crop genetic diversity.
 - India is a party to the Treaty.
- Which of the statements given above is/are correct?
- 1 only
 - 2 only
 - 1 and 3 only
 - 1, 2 and 3
23. What was the primary objective of 'Operation Hinterland Brew'?
- To intercept illegal gold smuggling in the Himalayan border regions.
 - To dismantle a clandestine synthetic drug (Mephedrone) manufacturing unit in Wardha, Maharashtra.
 - To crack down on illicit liquor brewing in the hinterlands of Punjab.
 - To stop the trafficking of exotic wildlife through the Western Ghats.
24. Consider the following statements regarding Bear Market:
- It is a market that is on the rise.
 - In a bear market, investors rush to sell their stocks instead of buying.
 - During it the country's economy is strong and employment levels are high.
- Which of the statements given above is/are correct?
- 1 only
 - 2 only
 - 1 and 3 only
 - 1, 2 and 3
25. The term 'GLP-1 receptor' is talked about in the context of:
- genetic modification of crops for enhanced resistance to pests
 - development of satellite-based navigation and positioning systems
 - radio-telemetry techniques used in wildlife conservation
 - regulation of blood glucose levels and body-weight control

26. Consider the following regarding indirect taxes:
1. It is a useful tool to promote social welfare and can check the consumption of harmful goods or sin goods.
 2. Indirect taxes are generally considered inflationary in nature.
- Which of the statements above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2
27. The term 'Proton Exchange Membrane', sometimes mentioned in the news, is commonly discussed in the context of:
- (a) The development of advanced lithium-ion batteries for smartphones.
 - (b) Clean energy technologies like hydrogen fuel cells and electrolyzers.
 - (c) Synthetic membranes used in large-scale seawater desalination plants.
 - (d) A new technique for carbon sequestration in deep-sea rock formations.
28. In the context of Options and Futures trading, a call option is considered to be "In-the-Money" when:
- (a) The market price of the underlying asset is lower than the strike price.
 - (b) The market price of the underlying asset is higher than the strike price.
 - (c) The market price of the underlying asset is equal to the strike price.
 - (d) The market price of the underlying asset is in the same range of spot price.

29. Consider the following pairs:

<i>Pass in news</i>	<i>State</i>
---------------------	--------------

- | | |
|-----------------|--------------------|
| 1. Cho La | : Ladakh |
| 2. Shipki-La | : Himachal Pradesh |
| 3. Bomdila pass | : Sikkim |

How many of the pairs given above are correctly matched?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

30. Which of the following is/are the features of "circular flow of income"?

1. Producer produces the final goods for the consumption of the public.
2. Public contributes its resources to the production of final goods.

Select the correct answer using the code given below.

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

31. Consider the following statements Sensex:

1. Sensex is composed of 30 largest and most actively traded stocks of Bombay Stock Exchange in India.
2. For calculating the Sensex, proportional weightage is assigned according to the size of the company.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

32. Consider the following statements regarding the BRICS grouping:
1. BRICS is an intergovernmental organization comprising ten countries.
 2. BRICS has a permanent headquarters located in Beijing, China.
 3. The 2026 BRICS Summit is scheduled to be hosted by India.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

33. Consider the following:

1. Continental Shelf in Bay of Bengal
2. British High Commission in New Delhi
3. Indian Embassy in Washington
4. Special Economic Zones along the Eastern Coast

In the context of System of National Accounts (SNA), how many of the above are part of economic territory of India?

- (a) Only one
- (b) Only two
- (c) Only three
- (d) All four

34. The term 'Kimberley Process', sometimes mentioned in the news, refers to:

- (a) a multilateral certification mechanism to prevent trade in rough diamonds
- (b) a global framework regulating trade in endangered wildlife species
- (c) an international agreement on the control of hazardous chemical weapons
- (d) a UN programme aimed at strengthening peacebuilding in post-conflict regions

35. Income elasticity of demand is zero in the case of:

- (a) normal goods
- (b) essential goods
- (c) inferior goods
- (d) it can never be zero

36. With reference to GDP deflator, consider the following statements:

1. It is the ratio of GDP measured at current prices to GDP measured at constant prices.
2. It automatically reflects the changes in consumption pattern and structural transformations in the economy.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

37. In the context of macroeconomics, marginal propensity to consume (MPC) refers to

- (a) fraction of total additional income that people use for consumption.
- (b) fraction of total consumption that is incurred on basic necessities like food.
- (c) fraction of income that is put into savings for future consumption.
- (d) fraction of income that is incurred on capital investment.

38. 'Commercial Paper', often seen in news, is best described by which of the following statements?

- (a) Government bonds with maturity less than a year.
- (b) Unsecured short-term money market instrument issued by corporates and financial institutions.
- (c) Saving certificate given by commercial banks against a deposit.
- (d) long-term loan whereby the seller of a security agrees to buy it back at a specified price and time.

39. Which of the following is/are the characteristic(s) of a Public Good?
1. Consuming the good does not reduce the amount available to other people.
 2. It is not possible to exclude people from using the good.
 3. Consumption of this good is believed to confer benefits on society as a whole.
- Select the correct answer using the code given below.
- (a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3
40. In the context of political economy, Club goods refers to:
- (a) products which can be used by anyone and their consumption doesn't reduce their availability to other.
(b) products which can be restricted for individual consumption but their consumption doesn't reduce their availability to others.
(c) products which can be consumed by anyone but their consumption reduces the availability to other.
(d) products which can be excluded from individual consumption and their consumption by an individual prevents other from consuming the same goods.
41. In the context of capital markets, what do you understand by the term 'Red Herring Prospectus'?
- (a) A final offer document issued after the closure of the public issue containing allotment details and listing price.
(b) A document containing the details of process of price determination in book building process
(c) A valuation report prepared by the merchant banker to determine the fair value of shares.
(d) A preliminary IPO document that gives issue details without the final price or share quantity.

42. Consider the following pairs:
- | <i>Location in the news</i> | <i>Region</i> |
|-----------------------------|------------------|
| 1. Yellow Line | : Eastern Europe |
| 2. Afar Region | : East Africa |
| 3. Emerald Triangle | : Southeast Asia |
- How many of the pairs given above are correctly matched?
- (a) Only one
(b) Only two
(c) All three
(d) None
43. Consider the following in the context of capital formation in India:
1. Newly discovered Mineral Deposits
 2. Durable goods in the hands of the households
 3. New Software products
 4. Increase in the stocks of defence materials
- How many of the above are added during the Gross Capital Formation (GCF) calculation?
- (a) Only one
(b) Only two
(c) Only three
(d) All four
44. Consider the following:
1. Resource mobilization
 2. Creation of social and economic overheads
 3. Reduction of inequality
 4. Direct management of money supply in the economy
- In how many of the above ways, the fiscal policy of a country plays a developmental role in economy?
- (a) Only one
(b) Only two
(c) Only three
(d) All four

45. Which of the following is/are part of 'production tax'?
1. Stamps and registration fees
 2. Goods and Services Tax
 3. Tax on profession
- Select the correct answer using the code given below.
- (a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 2 only
46. Consider the following statements with reference to Application Supported by Blocked Amount (ASBA):
1. ASBA is a process where IPO application money is blocked in the bank account and debited only on allotment.
 2. The rules governing to ASBA facility are regulated by RBI.
 3. In IPOs, issuer is mandatorily required to provide only ASBA as mode for payment.
- How many of the above statements are correct?
- (a) Only one
(b) Only two
(c) All three
(d) None
47. Consider the following:
1. Treasury bills
 2. Cash reserve
 3. Commercial bonds
 4. Gold
- How many of the following assets bank can consist as a part of the Statutory Liquidity Ratio?
- (a) Only one
(b) Only two
(c) Only three
(d) All four

48. With reference to the Akash Next Generation (Akash-NG) missile, consider the following statements:
1. It is a state-of-the-art air-to-air missile defence system.
 2. It has the ability to engage up to ten targets simultaneously.
 3. It can deliver a one-tonne nuclear warhead to a range of about 300 km.
- Which of the statements given above is/are correct?
- (a) 1 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3
49. With reference to the Nidhi Company, consider the following statements:
1. They are created mainly to cultivate the habit of savings amongst their members.
 2. They can lend money to both their members and nonmembers.
 3. They are regulated by the Ministry of Corporate Affairs (MCA).
- Which of the statements given above are correct?
- (a) 2 and 3 only
(b) 1 and 2 only
(c) 1 and 3 only
(d) 1, 2 and 3
50. Consider the following situations:
1. A worker loses employment due to the closure of a factory following an economic slowdown.
 2. A graduate voluntarily leaves a job to search for better opportunities.
 3. A handloom worker loses employment due to mechanisation in the textile industry.
- Which of the above situations represents non-cyclical unemployment?
- (a) 1 only
(b) 1 and 3 only
(c) 2 and 3 only
(d) 1, 2 and 3

- 51.** Consider the following cultural practices:
1. Durga Puja
 2. Garba
 3. Pongal
 4. Deepavali
 5. Chhath Puja
- How many of the above are inscribed on UNESCO's Representative List of the Intangible Cultural Heritage of Humanity?
- (a) Only two
(b) Only three
(c) Only four
(d) All five
- 52.** Which of the following best describes the 'Tobin tax'?
- (a) It is a tax imposed on producers who cause environmental pollution
(b) It is a tax imposed on the basis of the monetary value of the taxed item
(c) It is a tax on foreign exchange transactions to curb short-term speculations
(d) It is a tax imposed on unlisted companies that raise capital through sale of shares
- 53.** Consider the following:
Statement-I: India has the highest tax-to-GDP ratio among emerging markets.
Statement-II: Improved direct tax collection and GST reforms have helped in the rise of the tax-to-GDP ratio in recent times.
Which one of the following is correct with respect to the above statements?
- (a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I.
(b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement for Statement-I.
(c) Statement-I is correct but Statement-II is incorrect.
(d) Statement-I is incorrect but Statement II is correct.

- 54.** Consider the following statements:
1. The relationship between a bond's price and its yield to maturity (YTM) is inverse and convex.
 2. A bond is priced at a premium above par value when its coupon rate is greater than the market discount.
 3. All else equal, a higher coupon bond is more volatile than a lower coupon bond.
- How many of the above statements are correct?
- (a) Only one
(b) Only two
(c) All three
(d) None
- 55.** Consider the following:
1. Income Tax
 2. Non-Tax receipts
 3. Corporation Tax
 4. Borrowing and other liabilities
- Arrange the above in the descending order of contribution to the public finance according to the budget 2025-26?
- (a) 4-1-3-2
(b) 3-1-4-2
(c) 2-1-3-4
(d) 1-2-3-4
- 56.** Which of the following statements correctly describes Veblen Goods?
- (a) These are the goods for which demand increases as the price increases.
(b) These are the goods with no opportunity cost.
(c) These are the inferior goods whose demand remains constant irrespective of change in prices.
(d) These are the goods for which demand increases as the prices fall.

57. In the context of the economy, which of the following statements best describes 'Pareto Optimality'?

- (a) It refers to an economic state where resources cannot be reallocated to make one individual better off without making at least one individual worse off.
- (b) It refers to the degree of government intervention in a market-driven economy necessary to maintain a balance between free trade and citizen welfare.
- (c) It refers to the minimum value of imports that a country must carry out to support its exports.
- (d) It refers to the ideal fiscal deficit value that governments must maintain below which growth rate and job creation may be hindered.

58. Consider the following:

1. Net Transfer payments from government
2. Interest on National Debt
3. Net factor income from abroad

How many of the above are included in the private income?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

59. Consider the following pairs:

Volcanic eruption in news **Region**

1. Mount Semeru : Indonesia
2. Mount Etna : Italy
3. Kīlauea Volcano : Hawaii (USA)

How many of the above pairs are correctly matched?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

60. Consider the following statements:

Statement-I: Reducing government expenditure is considered as contractionary fiscal policy.

Statement-II: This type of fiscal policy is undertaken to pay down government debt and to curb inflation

Which one of the following is correct with respect to the above statements?

- (a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I.
- (b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement for Statement-I.
- (c) Statement-I is correct but Statement-II is incorrect.
- (d) Statement-I is incorrect but Statement-II is correct.

61. Which among the following correctly describes the term *Angel fund*?

- (a) An investment programme funded by shareholders that trades in diversified holdings
- (b) A fund created by the government to provide assistance to industries at times of incurring losses.
- (c) A fund created by self help groups to fund post harvest activities.
- (d) A money pool created by high network individuals or companies for investing in business start ups.

62. The term 'Burtele Foot' is sometimes mentioned in media in reference to a/an:

- (a) fossil evidence of a prehistoric quadrupedal mammal from East Africa
- (b) fossil remains of an early hominin exhibiting a mix of terrestrial and arboreal adaptations
- (c) early stone tool found from paleolithic times.
- (d) stratigraphic rock formation used to date early human evolution

63. Consider the following pairs:

<i>Source of Public Finance</i>	<i>Type</i>
1. Profits and dividends from public sector undertakings	: Capital receipt
2. Provident Fund	: Revenue receipt
3. Goods and Services Tax	: Tax-revenue receipt

How many of the above are correctly matched?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

64. With reference to the Wholesale Price Index (WPI) in India, consider the following statements:

- 1. It covers price movements of primary goods, fuel-related items and manufactured products at the wholesale level of the economy.
- 2. The current base year of WPI is 2015–16.
- 3. It is released on a monthly basis by the National Statistical Office (NSO) under the Ministry of Statistics and Programme Implementation.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 1 and 2 only
- (c) 2 and 3 only
- (d) 1, 2 and 3

65. Which of the following best describes 'Twin Balance sheet Problem' often seen in news?

- (a) It refers to the deficits faced by public sector banks and state governments because of various farmer's loan waiver schemes.
- (b) It is the high fiscal deficit of both Central and state governments.
- (c) It is a problem due to elimination of planned and unplanned categorization of government expenditures.
- (d) It is two-fold problems for Indian economy which deals with overleveraged companies and bad-loan-encumbered-banks.

66. Consider the following:

- 1. Expenditure on social services like free education
- 2. Subsidies on public distribution
- 3. Pensions and salaries

How many of the above are classified as revenue expenditure?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

67. Consider the following statements regarding the DHRUV64:

- 1. It is India's first indigenously designed 64-bit dual-core microprocessor.
- 2. It was developed by Bharat Electronics Limited (BEL) under the Microprocessor Development Programme.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

68. With reference to the Goods and Services Tax reforms 2.0 that were implemented recently, consider the following:

- I. Aerated beverages, including fruit drink variants.
- II. Chewing tobacco and cheroots
- III. Television sets
- IV. Air conditioners

Which of the above have attracted the highest GST rate (40 percent)?

- (a) I and II only
- (b) III and IV only
- (c) I, II, and IV only
- (d) I, II, III, and IV

69. Consider the following:

- 1. Short-term borrowings like T-Bills
- 2. Market Borrowings
- 3. Securities against small savings

Which of the above contributed to the deficit financing in India?

- (a) 2 only
- (b) 2 and 3 only
- (c) 1, 2 and 3
- (d) 1 only

70. With reference to the Bank Rate, consider the following statements:

- 1. It is the rate below which commercial banks cannot give loans to its customers.
- 2. A decrease in the bank rate indicates easy money policy by the central bank.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

71. Consider the following pairs:

<i>Exercise</i>	<i>Participating Countries</i>
-----------------	--------------------------------

- | | |
|-------------------------------|------------------|
| 1. Exercise Harimau Shakti | : India-Malaysia |
| 2. Exercise Desert Cyclone II | : India-Mongolia |
| 3. Exercise Ekatha | : India-Maldives |
| 4. Exercise Garuda Shakti | : India-France |

How many of the pairs given above are correctly matched?

- (a) Only one
- (b) Only two
- (c) All four
- (d) None

72. Through which of the following ways can companies independently demonstrate a commitment to stakeholder capitalism?

- 1. Reducing the CEO-worker pay ratio
- 2. Investing in local communities
- 3. Focus on increasing profits over long-term value creation.

Select the correct answer using the code given below.

- (a) 1 and 2 only
- (b) 2 only
- (c) 3 only
- (d) 1, 2 and 3

73. With reference to the economy, what does the *Seigniorage*, refers to?

- (a) The delivery of financial services at affordable costs to disadvantaged and low-income segments of society.
- (b) The difference between the value of currency/money and the cost of producing it
- (c) The total value of all goods and services produced over a specific time period in an economy.
- (d) Actions taken by a country's central bank to counter the effects on the money supply caused by a balance of payments surplus.

74. The Financial Inclusion-Index is released by which one of the following institutions?
- (a) Ministry of Finance
 - (b) NITI Aayog
 - (c) Reserve Bank of India
 - (d) World Bank
75. With reference to the recently launched LVM3-M6 / BlueBird Block-2 mission, consider the following statements:
1. It is designed to provide space-based cellular broadband connectivity directly to standard mobile smartphones.
 2. It is part of a global Geosynchronous Earth Orbit (GEO) satellite constellation.
 3. It is the heaviest payload to be launched by ISRO's LVM3 launch vehicle from Indian soil.
- Which of the statements given above are correct?
- (a) 1 and 2 only
 - (b) 1 and 3 only
 - (c) 2 and 3 only
 - (d) 1, 2 and 3
76. The term 'GhostPairing', recently mentioned in the news, refers to:
- (a) a phishing campaign targeting e-commerce login credentials
 - (b) an account takeover method exploiting WhatsApp's device-linking feature
 - (c) a spyware-based surveillance technique for covert phone monitoring
 - (d) an online shopping fraud involving manipulation of QR-code payments

77. With reference to salient features of Mixed economy, consider the following statements:
1. There is co-existence of private and public sector.
 2. Government intervenes for social welfare only.
 3. Prices of all goods are determined by the market forces.
- Which of the statements given above is/are correct?
- (a) 2 and 3 only
 - (b) 1 only
 - (c) 1 and 2 only
 - (d) 1, 2 and 3
78. Personality rights, as recognised by Indian courts, primarily draw their constitutional basis from which of the following articles of the Constitution?
- (a) Article 14
 - (b) Article 19
 - (c) Article 21
 - (d) Article 29
79. Consider the following statements regarding the public debt of India:
1. External debt comprises 40% of the total public debt of India.
 2. Treasury bills issued to State Governments are included in internal debt.
- Which of the statements given above is/are **not** correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2

80. In the Product method or Gross Value Added (GVA) method, the Gross Domestic Product (GDP) is calculated by adding the gross value added (GVA) of all firms in the economy. Which of the following are used to find the GVA of a firm?

1. Sales of the firm
2. Change in inventories
3. Value of intermediate goods used

Select the correct answer using the code given below.

- (a) 1 and 3 only
- (b) 1 and 2 only
- (c) 2 and 3 only
- (d) 1, 2 and 3

81. Which of the following best defines “Legal Tender” in the monetary system?

- (a) It is money issued by the central banks and backed by its gold reserves.
- (b) It is a negotiable instrument that can be refused as a mode of payment by the payee.
- (c) It is foreign currency recognized by the Reserve Bank of India for international trade settlements.
- (d) It is the form of money that must be compulsorily accepted in settlement of public and private within the country.

82. Which of the following is/are the functions of Reserve Bank of India?

1. Authority to issue currency notes in India.
2. Acts as the banker to the Central and State Governments.
3. Custodian of India’s foreign exchange reserves.

Select the correct answer using the code given below.

- (a) 1 and 3 only
- (b) 2 only
- (c) 2 and 3 only
- (d) 1, 2 and 3

83. With reference to Headline Inflation in India, consider the following statements:

1. It is measured using the Consumer Price Index (Combined).
2. It is the primary inflation indicator used for inflation targeting under the RBI Act.
3. It is less volatile than core inflation over short periods.

Which of the statements given above are correct?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

84. The Operation Sagar Bandhu, recently seen in the news, was launched by India to:

- (a) conduct coordinated naval exercises with Indian Ocean littoral states
- (b) undertake maritime security and anti-piracy operations in the Red Sea
- (c) provide disaster relief and rescue assistance to Myanmar after a major earthquake
- (d) provide humanitarian assistance and disaster relief to Sri Lanka

85. Which of the following are qualified to be called as banks in the co-operative sector?

1. Primary Agricultural Credit Societies
2. Urban Co-operative Banks
3. State Co-operative Banks
4. Central Co-operative Banks

Select the correct answer using the code given below.

- (a) 1, 2 and 3 only
- (b) 1, 3 and 4 only
- (c) 2, 3 and 4 only
- (d) 1, 2, 3 and 4

- 86.** Consider the following:
1. Government of India
 2. Governments of the States
 3. Banks
 4. Corporate Bodies
- How many of the above Reserve Bank of India can lend money?
- (a) Only one
 - (b) Only two
 - (c) Only three
 - (d) All four
- 87.** Consider the following statements:
1. For an open economy, savings in the economy equals capital formation during the year.
 2. For non-financial corporations, the net saving is equal to their net disposable income.
- Which of the statements given above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2
- 88.** In the context of economics, the bandwagon effect is:
- (a) The cost advantages that enterprises obtain due to their scale of operation.
 - (b) The desire/demand to possess a unique commodity having a prestige value.
 - (c) The phenomenon that explains how a person accepts risk not only on the basis of possible losses or gains, but also based upon the utility gained from the risky action itself.
 - (d) It is a demand for a good by a person who wants to be in style because possession of a good is in fashion and therefore many others have it

- 89.** In the context of banking, which of the following statements best describes the term 'haircut'?
- (a) It is the difference between the loan amount and the actual value of the asset used as collateral.
 - (b) It is the reserve requirement that the commercial banks are required to maintain in the form of gold and government approved securities.
 - (c) It is a process whereby all new restructured loans are classified as bad loans.
 - (d) It is the downsizing of the banking staff by restructuring the processes and reducing the employees.
- 90.** How many of the following water bodies are part of the Southern Ocean?
1. Weddell Sea
 2. Ross Sea
 3. Bellingshausen Sea
 4. Tyrrhenian Sea
- Select the correct answer using the code given below:
- (a) Only one
 - (b) Only two
 - (c) Only three
 - (d) All four
- 91.** The term 'Kessler Syndrome' refers to a situation in which:
- (a) intense solar activity disrupts satellite communication systems
 - (b) climate feedback mechanisms lead to irreversible polar ice loss
 - (c) repeated zoonotic disease spillovers occur across continents
 - (d) orbital debris accumulation triggers cascading satellite collisions

92. Consider the following committees:
1. Narasimham Committee
 2. Urjit Patel Committee
 3. Raghuram Rajan Committee
 4. N.K.Singh Committee
 5. Nachiket Mor Committee
- Which of the above committees are associated with Banking sector reforms in India?
- (a) 1, 2, 3, 4, and 5
 - (b) 1, 2, 3, and 5 only
 - (c) 2, 3 and 4 only
 - (d) 1, 3 and 5 only

93. Which of the following entities can be declared as wilful defaulter by a bank?
1. A person who has defaulted in repayment obligation even when he has capacity to pay.
 2. A company that has diverted funds for purposes other than for which it was borrowed.
 3. A person who has sold the assets bought by the lender's fund without informing the bank.
- Select the correct answer using the code given below.
- (a) 1 and 2 only
 - (b) 2 and 3 only
 - (c) 1 and 3 only
 - (d) 1, 2 and 3

94. Consider the following pairs:
- | <i>Festival</i> | <i>State</i> |
|------------------------------|---------------------|
| 1. Galdan Namchot | : Nagaland |
| 2. Karthigai Deepam Festival | : Tamil Nadu |
| 3. Charaichung Festival | : Assam |
- How many of the pairs given above are correctly matched?
- (a) Only one
 - (b) Only two
 - (c) All three
 - (d) None

95. Consider the following statements regarding Demand shock:
1. A demand shock is a sudden and temporary increase or decrease in the demand for a good.
 2. Change in price cannot cause a demand shock.
- Which of the statements given above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2

96. Consider the following statements:
1. In Margin Trading Facility (MTF), one can purchase stocks by paying only a fraction of the overall price.
 2. MTF is not allowed in capital markets in India.
- Which of the statements given above is/are correct?
- (a) 1 only
 - (b) 2 only
 - (c) Both 1 and 2
 - (d) Neither 1 nor 2

97. With reference to the money supply in the economy, consider the following statements:
- Statement-I: A lower Cash Reserve Ratio (CRR) increases the potential size of the money multiplier in the banking system.
- Statement-II: A reduction in CRR allows banks to lend a larger proportion of their deposits, leading to repeated rounds of deposit creation.
- Which one of the following is correct in respect of the above statements?
- (a) Both Statement-I and Statement-II are correct, and Statement-II is the correct explanation for Statement-I.
 - (b) Both Statement-I and Statement-II are correct, and Statement-II is not the correct explanation for Statement-I.
 - (c) Statement-I is correct, but Statement-II is incorrect.
 - (d) Statement-I is incorrect, but Statement-II is correct.

98. Consider the following statements regarding the Standing Deposit Facility (SDF):

1. Under SDF, banks can borrow from RBI in an emergency situation when inter-bank liquidity dries up completely.
2. Under it, banks borrow from the RBI without pledging government securities.
3. All liquidity adjustment facility participants are eligible to participate in the SDF scheme.

How many of the statements given above are correct?

- (a) Only one
- (b) Only two
- (c) All three
- (d) None

99. When there is an increase in the demand for money in the economy, which of the following is the most likely monetary policy response by the Reserve Bank of India?

- (a) The Reserve Bank of India will sell government securities in the open market.
- (b) The Reserve Bank of India will increase the Repo Rate to discourage borrowing.
- (c) The Reserve Bank of India will purchase government securities in the open market.
- (d) The Reserve Bank of India will increase the Statutory Liquidity Ratio to absorb excess liquidity.

100. Which of the following best describes Pigovian Tax?

- (a) It is the tax levied on a market transaction that creates a negative externality.
- (b) It is a tax levied on the net gains in the stock market.
- (c) It is a tax levied to prevent the dumping of goods.
- (d) It is the tax imposed on unexpected profits in a particular sector.

Copyright © by Vision IAS

All rights are reserved. No part of this document may be reproduced, stored in a retrieval system or transmitted in any form or by any means, electronic, mechanical, photocopying, recording or otherwise, without prior permission of Vision IAS.